

EVERY DOCUMENT IS the outcome of a negotiation. In the world of venture capital (VC) funding, the character of this negotiation changes with cycles. After a year of breakneck pace of investing, which saw a record \$35 billion of investor money flowing into Indian companies, the start-up ecosystem is starting at a dry spell. From what has been a founder's market, the slowdown has caused a paradigm shift where the investors are deciding deal terms.

What has led to this shift? For that, a bit of history first. What we saw in the 24 months leading up to 2022 was a massive influx of capital into India due to excessive money in the global markets. Some of that capital ended up with large investment funds and big capital allocators globally, who have a share earmarked for alternative assets and emerging markets. Besides, during the phase of high liquidity, every investor wanted to diversify its capital pool, resulting in capital being exported to all countries. Consequently, a percentage of it came to India, the third largest start-up ecosystem in the world. For this emerging market, that number was significant.

When a flood of capital chases start-ups, the risk lens often gets impaired, views become biased, and growth, not profitability, drives investment decisions. It also creates a sense of FOMO (fear of missing out), where investors don't want to lose an opportunity and, therefore, invest fairly quickly. "Last year, deals were happening over a weekend. You would meet a company on a Thursday or a Friday, and you had to decide by Saturday or Sunday because in most cases, they would have multiple term sheets. So, it was more about winning that opportunity by getting into that company. It gave very little soak time to understand and learn about the founding team and what they are doing," says Abhinav Chaturvedi, Partner at VC firm Accel.

Herd mentality also reared its head. As venture deals stacked up, capital influx did not discriminate between the quality of companies and peer benchmarking increased, tech-savvy youngsters were encouraged to take risks, and a lot of talent crossed over from traditional companies to found start-ups. Consequently, a phenom-

enal number of start-ups emerged. Add the exponential pandemic-induced digital acceleration of businesses to the mix, and you have the recipe for an explosion of deals. Funding rounds were oversubscribed and start-ups were raising capital at all-time high valuations.

All of a sudden, the tap is drying up. A bunch of factors, mostly to do with global conditions and some local, too, has constrained the flow of money into India-focussed venture funds. Profits, unheard of as a considered metric, have begun to be looked at closely. Questions are being asked on the quality of start-ups being funded, and on the quality of due diligence being followed by VC firms. Questions are also being raised about the founders' penchant to splurge on acquiring personal assets and lavish lifestyles, and the consequent breakdown of corporate governance norms.

Net result: despite VCs sitting on a massive pile of dry powder in India, investments have slowed.

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HOW DID THE tide turn? That's quite a story. As per Bain & Company's India Venture Capital Report 2022, investments in India in 2021 grew nearly four-fold (3.8x) over 2020, faster than China's 1.3x. Naturally, a degree of fear lingered about this bubble popping. That day came early this year when global tech stocks started to plummet. Historically, public market valuations govern private market valuations. In the case of two companies—one public, one private—with similar metrics such as product offerings, total addressable market, margins and customer acquisition cost, the private company is likely to fetch valuation multiples similar to that of its publicly traded peer.

After the US Fed instituted a string of interest rate hikes starting March 2022 to counter soaring inflation, marquee tech stocks began to fall sharply globally, forcing investors to reroute their funds to other attractive assets. Besides, many of the new crop of young investors that flocked the markets for tech stocks during the pandemic did not have the bandwidth or vision to hold on to their stocks long enough to ride a significant downturn. Consequently, unlisted tech start-ups, too, began to feel the heat in terms of growth and valuations.

The Fed has raised interest rates four times this year so far, which has significantly impacted capital inflows